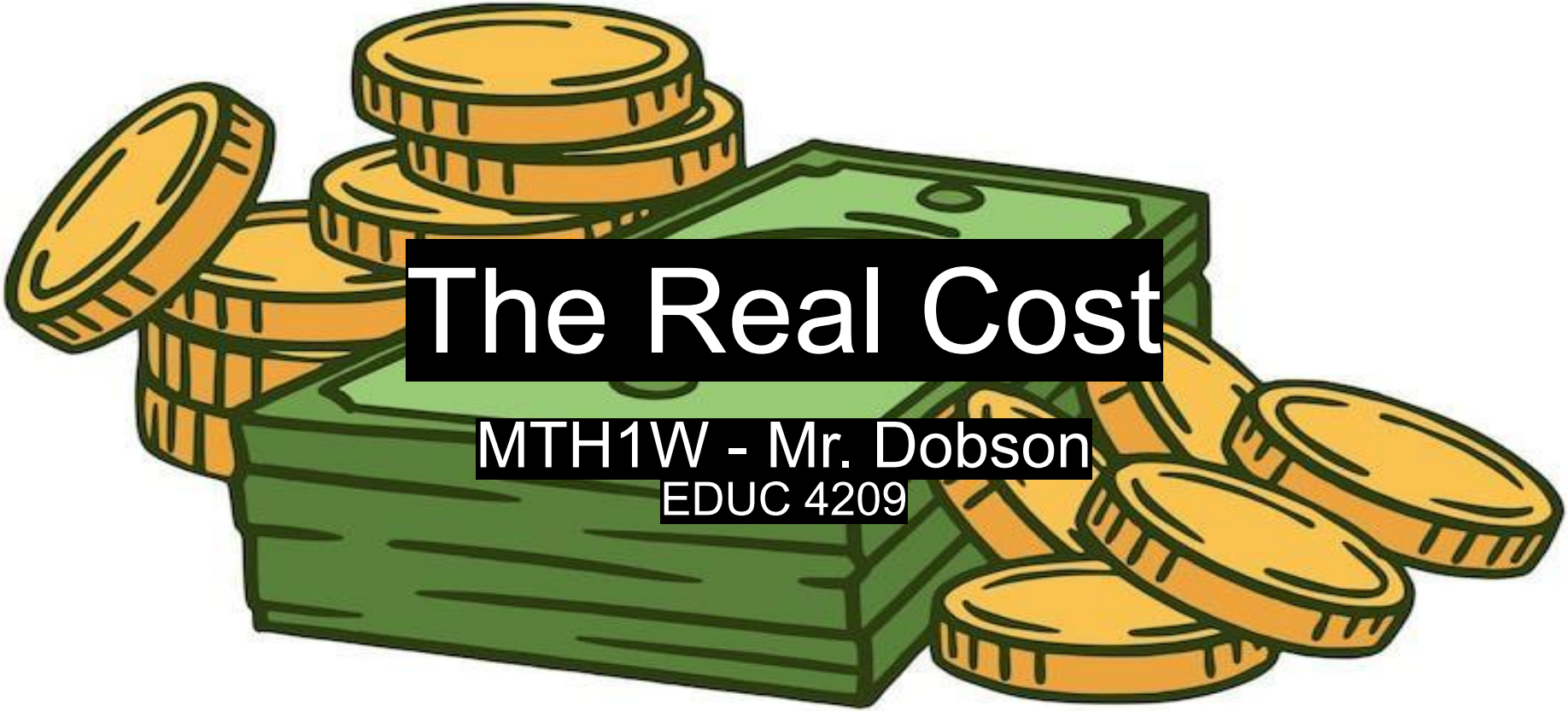

The Real Cost

MTH1W - Mr. Dobson

EDUC 4209

Learning Goal

We are learning to compare payment options by looking at how ***down payment, interest rate,*** *and* ***time*** *affect* ***simple interest*** *and* ***total cost****.*

Which Would You Choose?

Your friend wants to buy a $1000 laptop for school but cannot pay the full amount today. They can pay it off over 4 years and are choosing between two payment options. Which option is the better deal?

Option 1:

- 25% down payment
- 6% **simple interest** per year on the amount borrowed
- 4 years

Option 2:

- 10% down payment
- 5% **simple interest** per year on the amount borrowed
- 4 years

Simple Interest: *extra cost (interest) for borrowing, based only on the original amount borrowed*

Think-Pair-Share

No calculating yet - just analyse the problem.

With your partner/group, discuss:

- What do you notice about the two plans?
- What seems important to you in each plan?
- What would you need to compare before choosing?

Prediction Check

Class poll:

1 Finger = Option 1

2 Fingers = Option 2

Calculations: Comparing the Two Plans

Your group's job:

- Compare both payment options
- Show your math clearly
- Choose one option and explain why

Tools that can help: Calculators (phones), Excel/Sheets, Graph paper, Tables/Graphs

Need a starting point? *How does each detail affect the cost?*

Which Would You Choose?

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Share and Compare

As groups share, listen for:

- How they compared the plans
- What calculations or comparisons mattered most
- Similarities and differences in methods

Exit Ticket: Mentimeter “Sticky Note”

Question: What could you change to make the other plan (**not the one you selected**) a better deal, and why?

Mentimeter: https://www.menti.com/al14hmiiynh8

Thank you for your time!

Have a good day everyone!

Extension challenge for the earlier finisher

If your group finishes the main comparison, choose one challenge:

- Change the down payment
- Change the interest rate
- Change the time (number of years)

Try to make the other plan become the better deal

Be ready to explain:

- What did you change?
- Why did it work?